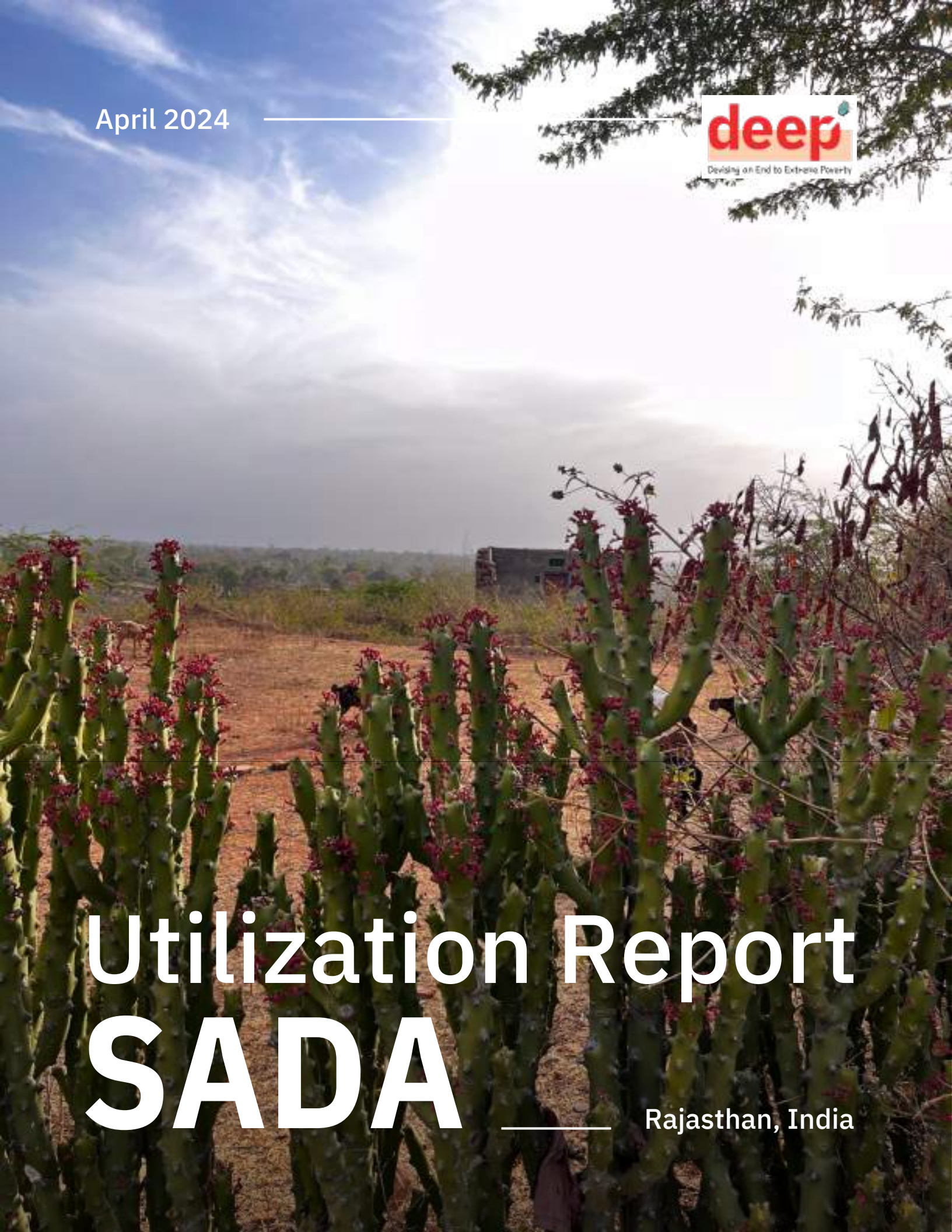


April 2024

deep
Devising an End to Extreme Poverty

Utilization Report

SADA

Rajasthan, India



Transferring money to people so that they can carve their own pathway towards prosperity

Project DEEP is a section 8 nonprofit organization in India registered as One Step Forward Foundation, CIN – U88900MH2023NPL402559



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INTRODUCTION

PROGRAM

INR 65,000 each was transferred to 112 households in three hamlets of Sada village (Amliphala, Mana Mangri & Kadaiya Mangri) in the Dungarpur district of South Rajasthan, in December 2023. This was done through the bank account of women.

DEMOGRAPHIC

The village constitutes the Meena community, officially designated a Scheduled Tribe. The total population is 505 people, of which 46% are women.

The aim is to empower people to ***carve their own pathway towards prosperity***, through a lumpsum transfer.



SOURCE OF INCOME

Everyone grows consumption crops, like wheat, maize and rice. 73% of the families are dependent on circular migration for their income with one or more members working in nearby cities for a few months. The common occupations are helpers or cooks at a tea or snacks stall, working in a kirana or clothes store, domestic help or daily wage at construction sites and other odd jobs. Women are mostly enrolled with MNREGA and get about 60 days of work a year earning INR 180 / day, on average. The net average annual income for a family of five is INR 75,336.

WHERE WAS THE MONEY SPENT?



- Housing - 25.6%
- Debt Repayment - 17.1%
- Land & Land Improvement - 16.7%
- Savings - 9.3%
- Livestock and related - 8.8%
- Health - 6.6%
- Water Access - 5.6%
- Enterprise - 5.5%
- Social Purpose - 2.7%
- Others - 1.8%
- Education - 0.4%

70% of the funds have been used to ***create and preserve*** inter-generational assets.

which also builds resilience!

Please refer to the annexure for further details.

HOW DID IT **IMPACT** THEIR LIVES?



Accelerating construction of **pucca house**

for 45 families

Freeing up savings and plugging interest leakage



Collateral worth **~INR 18.5 lakhs**

released

Reducing monthly debt installments and building resilience



20% increase in total **cultivable land**

Boosting food security and reducing expense



12 families improved their **water access**

Improving nutrition by growing more food including vegetables



10 families have invested in **livestock**

Creating a suitable local income



5 enterprises

newly set up & 2 expanded

Enabling an increase in income and dignity



Healthcare

assistance for 10 families

Absorbing sudden shocks and enhancing wellbeing



Additional funds

invested by 49 families

Demonstrating motivation and skin in the game

ASSETS ——— *Created, Improved, Preserved*

HOUSING SECURITY FOR 45 FAMILIES



31 families will be able to move out of a kucha house, and 14 will be able to complete their pucca house with a roof, boundary, sanitation or an additional room.

Typically, families need to save for 5-6 years or take a huge amount of debt at a high interest rate, to complete their house. Their meagre wages get absorbed in routine expenses, making it difficult to undertake this mammoth task. During the baseline 54 families (50%) mentioned that a pucca house is key to transformation in their lives. Mainly because the sloping land causes water to seep into the mud homes during monsoons, making everyday life extremely difficult. And the large family sizes also warrant more rooms to improve living conditions.

Completing a house ***unlocks the disposable income*** that was being set aside or leaking through high interest payments. It also allows migration for longer duration or to further distances for better income.

Investments have been made at different stages of construction including completion of the structure, roof and sanitation facilities. It also includes levelling the land outside the house to protect children and animals from slipping off the slope. Having a secure house paves the way for the future generations to be more productive and live an enhanced life.

DEBT BURDEN REDUCED



Collateral worth ~INR 18.5 lakhs has been released, ensuring financial security and boosting resilience.

The baseline revealed that debt instalments were the second highest expense after food, amounting to INR 2,189 per month, out of an average income of INR 6,278. People often put their jewellery and land as collateral to meet unexpected expenses (medical emergencies, funeral cost) or important lumpsum investments (wedding, housing repair and agriculture). This has the double whammy of high interest cost and reduced security.

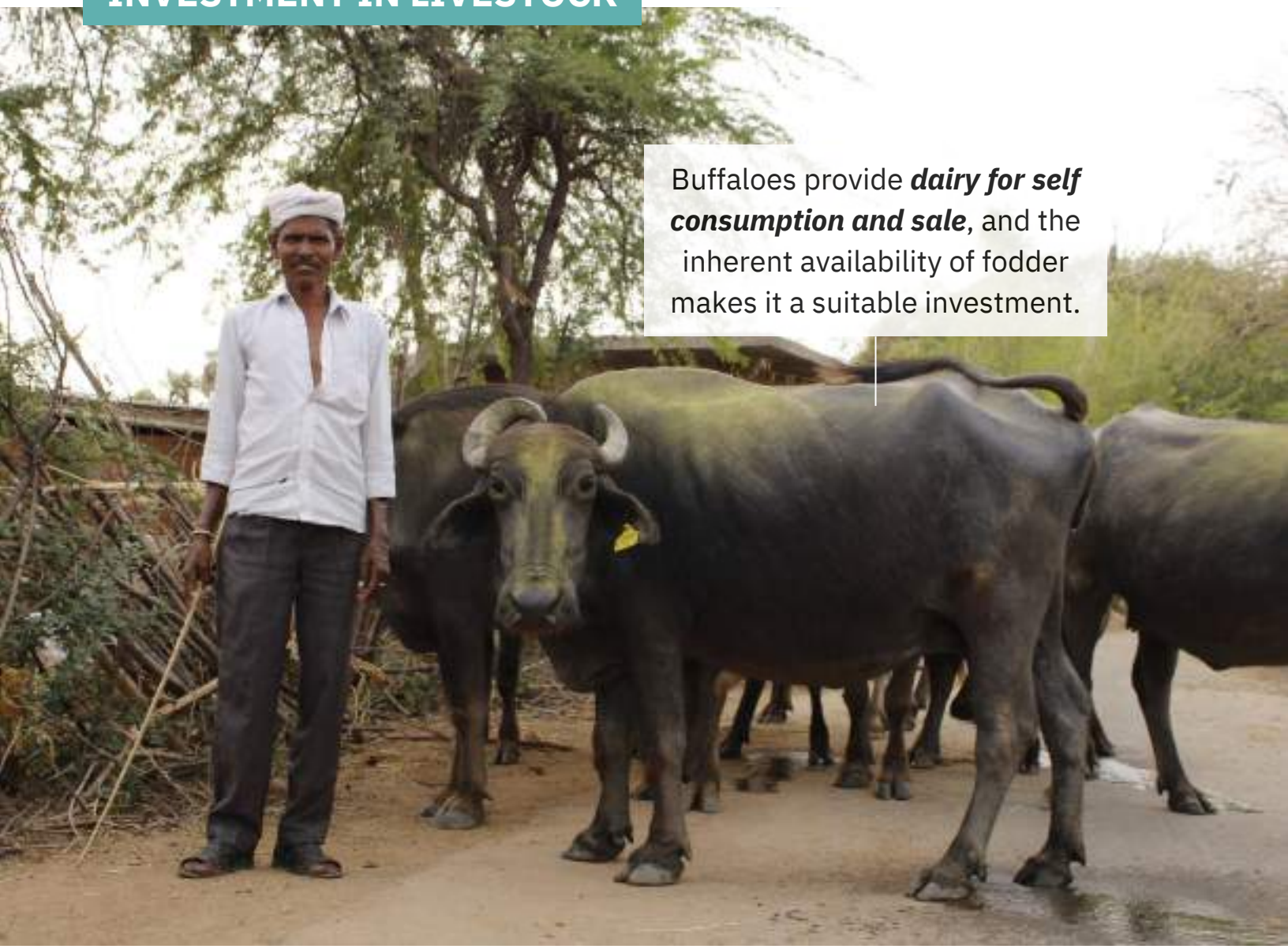
36 families have repaid debt of INR 12,44,000, of which INR 9,69,000 was against collateral. A significant chunk of ***debt being repaid will plug the leakage*** and improve cash flows. The fear of losing the assets and the stress of routine repayments has been relieved.

35 ACRES OF LAND LEVELLED



Earlier harvest was possible only on 58% of the total agricultural land due to the uneven topography and overgrowth. Wheat, rice and maize are grown for self consumption, but are most often not enough to last the whole year. Food is the highest expense for a family, constituting a whopping 36% of the total income, and yet families are not able to buy as much as they require, making do with what they can afford. People prefer eating home grown food, which is of a superior quality due to the largely organic and traditional methods of cultivation.
A one-time investment on levelling and cleaning has permanently expanded the total cultivable area. A larger proportion of those dependent on daily wage labour in nearby towns, as compared to circular migrants, have undertaken this pursuit, reducing the stress of an irregular income. Having a better land parcel will ***increase the produce bringing down the food expense.*** 3 out of 35 families exemplify this. They readied the land in time for last year's harvest and have already grown 24 additional quintals of wheat, worth ~INR 60,000.

INVESTMENT IN LIVESTOCK



Buffaloes provide ***dairy for self consumption and sale***, and the inherent availability of fodder makes it a suitable investment.

Buffaloes are generally purchased from within the community, at a cheaper rate. As they reproduce, more livestock will be accessible for purchase enabling circulation of capital and income growth in the hamlet. This will also result in more dairy availability boosting nutrition levels. 2 families have also purchased goats, that are a key asset since they multiply quickly and can be sold to generate income during emergencies.

10 families have invested in livestock, of which 50% are first time owners of a buffalo. This will provide meaningful engagement and ***boosts local income*** for those who are unable to travel outside for work, including senior citizens. It is also a source of emotional wellbeing and social status. 7 families have created a shed for their animals to protect them from rains, and related diseases; and attack from other animals.

IMPROVING WATER ACCESS

Having water available increases the ability to grow more food, including vegetables, ***improving nutrition and potentially income.***

Water for daily requirements is drawn from multiple handpumps across the village, of which only some are specifically designated for drinking water. Fetching water across long distances and uphill climbs multiple times a day is a tedious and time consuming task. Most farmers are dependent on the rains or nearby dam for irrigation of their fields.

12 families invested in borewells and motor pumps at home and on their fields, to ***improve the harvest, engage in horticulture,*** and provide physical and cognitive relief. Through local interactions, we understood that borewells are long lasting in these areas. The rocky terrain reduces the requirement of desilting, and the nearby dam replenishes the groundwater.



BOOSTING INCOME GENERATION



There is immense pride and dignity in moving from waged labour to ***owning your own enterprise***.

Men have been migrating to Surat and Ahmedabad for many years to work at stalls, and had the aspiration and skill sets to set up their own enterprise. A few of them had undertaken this initiative, and had to shut down during COVID facing a drastic setback.

Three men have restarted their own chai, snacks and pan stalls in Gujarat and one has been inspired to take this plunge for the first time ever, providing an ***increased and stable source of income.*** Existing shops in the village have expanded to provide new products, including kirana and tyre puncture services. Of those who have set up their stalls, one family has been able to repay their old debt from the profits of the new shop, within three months.

WELLBEING – *Addressed, Nurtured, Sustained*

CONTRIBUTED TO THE COMMUNITY RESILIENCE



Having money eases the turbulence of unexpected events, which people find it hard to otherwise recover from.

Families rarely have money saved up to meet sudden expenses of healthcare and death. Culturally, funerals are a costly affair. Other large costs like a wedding or house repair during bad monsoons are also difficult to meet through regular income. The wedding cost for the groom's family includes an investment of more than 65% into jewellery which is actually a long term asset. However, these are all often fulfilled through debt.

6.6% of the funds were used for healthcare, including a long pending surgery of a 13 year old, treatment for a heart attack and post accident surgery, amongst others. 2.7% was used for social costs, mainly weddings. Having these funds ***reduced the requirement of distress debt.*** Savings have been earmarked mainly for house construction and other capital expenses.



OUR EXPERIENCE

SKIN IN THE GAME

There are 238 income earners in a population of 492, of which 72% are daily wagers. The uncertain and meagre income is barely enough to make two ends meet. There is a paucity of capital, curbing the potential to save for development and growth. The lumpsum grant provided through the program presented an opportunity to undertake imperative tasks with a reduced reliance on debt. It motivated 43 families to add their own funds to the seed capital, through a combination of their savings, livestock sale and debt, to prioritise building assets which will benefit their future generations as well. It is heartening to witness people put their best foot forward to make the most of the support they received.

SADA'S DEFINITION OF A GOOD LIFE

During our baseline surveys, we understood that people largely associate a good life and transformation with a sensible house, land to grow food on and water access for the same, livestock for emotional well being and the ability to provide a good tomorrow for their children. Families in the three hamlets are at different points on the spectrum of achieving this platter that will enable them to lead their life at full potential.

But the interesting part is that there is no set hierarchy in which these need to be fulfilled. Each family has their own sequence, through which they prioritise their cash flows, moving closer to the goal with each step.

A lumpsum transfer with no strings attached, accelerates families' journeys from where they are to where they want to be, through a route of their own choice. The one time boost goes a long way in their journey towards prosperity.



“VOICES OF SADA”

“With this support, I feel motivated that I can do more, one step at a time.”

- Veniya, 40 yrs, Amali phala

“Even if we work for 12 months, we cannot save so much.”

- Nati w/o Gotiya Meena, 37 yrs, Mana Mangari

“I was not used to waged labour, I did not enjoy it. Now I am glad to be self-employed again and have a better income.”

- Rupa, 40 yrs, Amali phala

“We are already enjoying the benefit of 2-3 quintal extra wheat. Now this will be enough for the year, we will not have to buy more. We also repaid debt to get our jewellery back, which now gives a lot of relief.”

- Gangli, 37 yrs, Mana Mangari

“I am able to walk and live pain free instead of being on bed rest.”

- Ladu Meena, 67 yrs, Amali phala

“Feel relieved to be debt free. I have five children, what would they eat if the land was taken away? Now I can grow wheat and feed them.”

- Manaki, 38 yrs, Amali phala

“Land was lying idle, now due to the borewell, we can use it to harvest during all three seasons. Our ease and income has increased.”

- Dipak, 35 yrs, Amali phala

“It was difficult to find things to do during the day, now that I have a buffalo, time passes by easily and I feel meaningfully engaged.”

- Logari, 29 yrs, Kadiya Mangri

“My husband has set up a chai stall in Ahmedabad for the first time. He earns a daily profit of INR 500. This is more stable than the daily wage that we used to rely on.”

- Savita, 34yrs, Amali phala

“With the investment in the roof, we are able to move into the pucca house which has been ready for a year now. The animals will also have shelter in the kucha house now.”

- Paru Meena, 30 yrs, Amali phala

“My life would have gone by just hoping, but now I have been able to fulfill my aspiration of levelling the land. I felt supported by the program.”

- Shoukla, 68 yrs, Mana Mangari











OUR ON GROUND ENGAGEMENT

STAGE 1

Baseline Survey,

October 2023

To capture data on an array of parameters including health, education, finances and aspirations before the program.

STAGE 2

Money Transfer,

December 2023

The program is announced in a village meeting, post which the money is disbursed via the women's bank account

You are here

STAGE 3

Utilization Survey,

March 2024

To understand where families have used the money and what inspired this decision

STAGE 4

Annual Assessment,

September 2024

To measure the catalytic impact of the usage of funds on the lives of the community

The surveys are conducted 1:1 with all program participants









CONCLUSION

Money has been utilised by the community to achieve the outcomes that would normally require 4-5 traditional programs. We strive to achieve equity by reaching every household in need. And by design, the most efficient way to do this, is to empower the participants to choose the solutions that suit them best. The assets that have been prioritised, not only provide security for the present but also create a foundation for the generations to come. A completed house and levelled land will withstand the next crisis and prevent these families from slipping into destitution. And the next generation will already have a better starting point, expending their energy to only improve their lives from here on. We already see the positive impact of relief, stability and higher confidence, and believe this will have a lasting effect on people's lives.

WAY FORWARD

We will continue to maintain engagement with the community through our on ground partner, and conduct an annual assessment survey at the end of the year. This will enable us to demonstrate the impact of wealth creation on the ground, and also work as an essential feedback loop to strengthen program design, if required.
We will incorporate learnings from Sada, and implement this model with 1500 households across Maharashtra and Rajasthan, in the next three years. This will feed into the ongoing national and global discourse on direct cash transfer programs.



ANNEXURE

Particulars	Amounts	Percentage	No of families
Housing			
Levelling	1,37,500	1.9%	4
Foundation	1,62,000	2.2%	3
Structure	3,75,000	5.2%	8
Tin Roof	2,80,000	3.8%	5
Cement Roof	3,05,000	4.2%	6
Plaster	91,000	1.3%	4
Sanitation	70,500	1.0%	3
Materials	3,26,000	4.5%	9
Boundary	1,15,000	1.6%	3
TOTAL	**18,62,000**	**25.6%**	**45**
Debt Repayment			
Land	1,55,000	2.1%	3
Jewellery	7,49,000	10.3%	23
Land & Jewellery	65,000	0.9%	1
No collateral	2,65,000	3.6%	8
Interest	10,000	0.1%	1
TOTAL	**12,44,000**	**17.1%**	**36**
Land & Land Improvement			
Cleaning	25,000	0.3%	2
Levelling	11,35,000	15.6%	33
Boundary	15,000	0.2%	1
Purchase	40,000	0.5%	1
TOTAL	**12,15,000**	**16.7%**	**37**
Savings			
Jewellery	17,250	0.2%	2
Monetary	6,58,750	9.2%	28
TOTAL	**6,76,000**	**9.3%**	**30**

Particulars	Amounts	Percentage	No of families
Livestock and related			
Livestock	4,08,000	5.6%	10
Animal Shed	2,30,000	3.2%	7
TOTAL	**6,38,000**	**8.8%**	**17**
Health (medical treatments)	**4,80,000**	**6.6%**	**10**
Water Access			
Borewell - field	2,31,000	3.2%	5
Borewell - house	25,000	0.3%	2
Irrigation machine	65,000	0.9%	1
Motor - house	88,000	1.2%	4
TOTAL	**4,09,000**	**5.6%**	**12**
Enterprise			
Land Purchase	45,000	0.6%	1
Newly set up	2,70,000	3.7%	5
Expansion / stocking up	85,000	1.2%	2
TOTAL	**4,00,000**	**5.5%**	**8**
Social Purpose (weddings)	**1,95,000**	**2.7%**	**5**
Others			
Regular Household expenses	77,000	1.1%	12
Temple on field	40,000	0.5%	1
Electricity application for motor	11,000	0.2%	1
Legal fees	5,000	0.1%	1
TOTAL	**1,33,000**	**1.8%**	**15**
Education (fees)	**28,000**	**0.4%**	**3**
TOTAL DISBURSEMENT	**72,80,000**	**100%**	



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to empower people with choice,
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